

● UNIT 2 · TOPIC 2.2

Fare Construction Rules: Directional, Mileage & Routing

The three rulebooks that decide which fare you can use.

B.B.A. Aviation Management · Semester III · Unit 2: Fare Construction Principles
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

AIR TICKETING ACADEMY

ADMIT ONE LEARNER

No. 2.2

CLASS

**PROBLEM-
SOLVING**

DURATION

40 MIN

PERIOD

PERIOD 2

FARE

FREE**FARE
CHECKED**

● TOPIC 2.2

Now Showing: Topic Intro



The graphic is a dark red rectangular box with a subtle radial pattern. On the left, a red banner reads 'UNIT 2 · TOPIC 2.2'. Below it, in smaller white text, is 'FARE CONSTRUCTION PRINCIPLES'. The main title 'Fare Construction Rules: Directional, Mileage & Routing' is in large, bold, white font. A large white play button icon is centered over the title. Below the title, a white italicized line reads 'The three rulebooks that decide which fare you can use.' On the right side, there is a white rectangular box with a dashed border, resembling a ticket. It contains the text 'AIR TICKETING ACADEMY' and 'ADMIT ONE LEARNER' at the top. In the center, 'No.2.2' is written in large, bold, dark red font. Below this, 'CLASS SEM III' is on the left and 'FARE FREE' is on the right. A red circular stamp with the words 'FARE CHECKED' in white, slanted letters is placed over the bottom right corner of the ticket box. At the bottom left of the main graphic, a small white airplane icon is positioned above the text 'AIR TICKETING & FARE CONSTRUCTION · UNIT 2 · TOPIC 2.2'.

UNIT 2 · TOPIC 2.2

FARE CONSTRUCTION PRINCIPLES

**Fare Construction Rules:
Directional, Mileage &
Routing**

The three rulebooks that decide which fare you can use.

AIR TICKETING ACADEMY
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CLASS SEM III

FARE FREE

FARE CHECKED

AIR TICKETING & FARE CONSTRUCTION · UNIT 2 · TOPIC 2.2

Air Ticketing & Fare Construction · Unit 2: Fare Construction Principles · Topic 2.2

02

● TOPIC 2.2

The Ticket Puzzle

**THINK ABOUT IT**

Is Delhi → London always the same price as London → Delhi?
Why or why not?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



● TOPIC 2.2

Your Fare Itinerary

- 1** **2.2.1**
Basic rules of fare construction: directional, mileage-based and routing rules
- 2** **2.2.2**
Directional rules
- 3** **2.2.3**
Mileage-based rules
- 4** **2.2.4**
Routing rules

**BY THE END, YOU WILL**

- Name the three basic fare construction rules
- Apply the direction-of-travel principle
- Calculate an excess mileage surcharge
- Check an itinerary against a specified routing

Pedagogy: Learning Through Problem-Solving



● TOPIC 2.2.1

The Three Basic Rules

Every international fare is validated by one of these methods.



Directional

Fares are published and applied in the direction of travel, from the fare origin.



Mileage

Total flown miles (TPM) must not exceed the Maximum Permitted Mileage (MPM) — or a surcharge applies.



Routing

Some fares list the exact permitted routes; if you follow it, no mileage check is needed.

● TOPIC 2.2.1

Mileage or Routing — Which Applies?

**Routing fare**

If a specified routing is published and the itinerary follows it, the fare is valid.

**Mileage fare**

If no routing is followed, apply the mileage system (TPM vs MPM).

**Neither fits**

Break the journey into more fare components.

**RULE OF THUMB**

Check routing first (it may allow a longer path free). If the route isn't listed, use mileage. Most GDS pricing engines test both automatically.



● TOPIC 2.2.2

Directional Fares

**Outbound: DEL → LON**

- Fare filed from India
- Priced in NUC, converted with Indian ROE
- Reflects Indian market demand
- Example: NUC 520 (illustrative)

VS**Inbound: LON → DEL**

- Fare filed from the UK
- Converted using UK ROE
- Reflects UK market demand
- Example: NUC 610 (illustrative)



TOPIC 2.2.2

Global Indicators: Direction Around the World

IATA codes show which way a fare travels between regions.

**EH - Eastern Hemisphere**

Travel within TC2/TC3, e.g., DEL-LON via Middle East.

**AT - Atlantic**

Between TC1 (Americas) and TC2/TC3 via the Atlantic.

**PA - Pacific**

Between TC1 and TC3 via the Pacific.

**TS / PO / AP**

Trans-Siberian, Polar and Atlantic-Pacific routes.



● TOPIC 2.2.3

Mileage Terms

The mileage system compares miles flown with miles allowed.

Term	Meaning
TPM	Ticketed Point Mileage — distance between each pair of ticketed points
MPM	Maximum Permitted Mileage — the most miles allowed for a fare between two cities
EMS	Excess Mileage Surcharge — 5%, 10%, 15%, 20% or 25% added when TPM > MPM
EMA	Extra Mileage Allowance — reduces TPM for certain approved routings

● TOPIC 2.2.3

Worked Example: Mileage Check

Is DEL-DXB-LON within the DEL-LON allowance?

- Add the TPMs of each sector.
- Compare with the MPM for the fare.
- Divide total TPM by MPM.
- Apply the EMS band: up to 5% → 5M, up to 10% → 10M ... up to 25% → 25M.



MILEAGE CALCULATION (illustrative)

DEL-DXB	TPM	1363
DXB-LON	TPM	3414
TOTAL	TPM	4777

DEL-LON	MPM	5018
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4777 < 5018 -> NO SURCHARGE

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// if TPM were 5400:  
// 5400/5018 = 1.076 -> 10M  
// fare x 1.10
```

● TOPIC 2.2.4

Routing Rules

Some fares specify exactly how you may travel.

**Specified routing**

A list of permitted carriers and via-points for that fare.

**Follow it = valid**

Even if the miles are longer, the fare applies without mileage surcharge.

**Deviate = recheck**

Any point not on the routing means the mileage system applies.

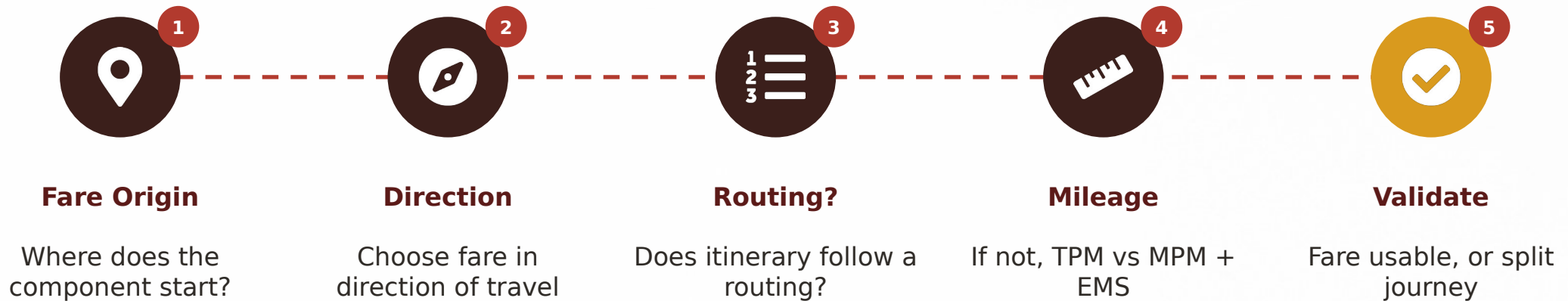
**EXAMPLE**

Fare routing: DEL – AI – BOM/BLR – AI – SIN.
A passenger flying DEL-BLR-SIN on Air India fits the routing. DEL-MAA-SIN does not, so the mileage check is needed.



● TOPIC 2.2.4

Problem-Solving Flow for Any Itinerary



● TOPIC 2.2

Ticket Office Workshop: Mileage Detective

**PEDAGOGY****Learning Through Problem-Solving****TIME · 12 min****FORMAT · Groups of 4****1**

Each group gets an itinerary card with TPMs and an MPM.

2

Calculate total TPM and the percentage over MPM.

3

Decide: no surcharge, EMS band (5M-25M) or break the fare.

4

Check one itinerary against a given specified routing.



● TOPIC 2.2

Click to reveal each answer

Fare Check Quiz

Q1**MPM stands for...**

- A) Minimum Passenger Miles
- B) Maximum Permitted Mileage
- C) Main Pricing Method
- D) Mileage Per Month

ANSWER**B****Q2****TPM is 4% above MPM. The surcharge is...**

- A) None
- B) 5M
- C) 10M
- D) 25M

ANSWER**B****Q3****India is in which IATA Traffic Conference?**

- A) TC1
- B) TC2
- C) TC3
- D) TC4

ANSWER**C****Q4****If TPM exceeds MPM by more than 25%...**

- A) Add 30%
- B) Fare is free
- C) Break into more fare components
- D) Ignore it

ANSWER**C**

TICKET STAMPED

Key Takeaways

- ✓ Three basic rules: directional, mileage and routing
- ✓ Fares apply in the direction of travel from the fare origin
- ✓ $TPM > MPM \rightarrow$ EMS of 5-25%; above 25% break the fare
- ✓ Following a specified routing avoids the mileage check

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT TICKET

Topic 2.3 — Fare Basis Codes

Thank you · Questions?